

‘It is a small world after all, Lala, but let’s be in touch,’ Monk told me as I shook hands with him after handing him the cheque.

Corporate earnings kept sliding, and the intermittent rallies usually ended in grief for the bulls. The market was not ready to turn around yet. Caught on the wrong side many times myself, I reduced my trading positions considerably, not wanting to burn more capital.

And then the market changed course, without any indication. It would be a few months before players acknowledged that a bull market was under way again. The denial was only to be expected. After starting the year at around 3,400, the Sensex had sunk to 2,900 by mid-May. It then climbed to 3,500 by end-June. However, corporate earnings were still sluggish, and many, including me, were certain the rally would not endure. But the market got an unexpected sentiment booster in Maruti Udyog’s IPO. Despite the uncertain market conditions, the government decided to push ahead with the public issue. To everybody’s surprise, the IPO got an enthusiastic response from all classes of investors, including retail. The floor price was set at Rs 115, and based on the demand, the final price was set at Rs 125. This was the first time that a book-built issue had been priced above the floor price. The issue fetched the government Rs 993 crore.

For a market thought to be starved of liquidity and lacking buyers, the response to the IPO came as a pleasant surprise. More importantly, it drove home the message that there will always be takers for quality offerings if the price was fair. Many players were worried that the market would take a while to digest the Maruti IPO, as it had sucked out nearly Rs 1,000 crore at one go. But the shares did well on listing, and investors who made money in the issue started looking for other attractively valued stocks to put money in.

That’s the beauty of public issues – they come across as liquidity guzzlers. But if the shares do well on listing, the IPO itself then becomes a source of liquidity.

By mid-October the index was closing in on 5,000, and even the most diehard of bears now had to grudgingly admit that a bull market was truly under way. Companies were eager to raise money and merchant bankers were working overtime advising them on how to go about it.

Every bull run needs a poster boy or Big Bull to look up to; that is something typical of the Indian stock market. This time the market found its hero in Rakesh Jhunjhunwala. A skilled trader, but an even better value